



THE FINANCIAL
BUDDY

MONTHLY DIGEST

Market Pulse

The Double Squeeze

Oil, Yields and India's Worst September Since 2018

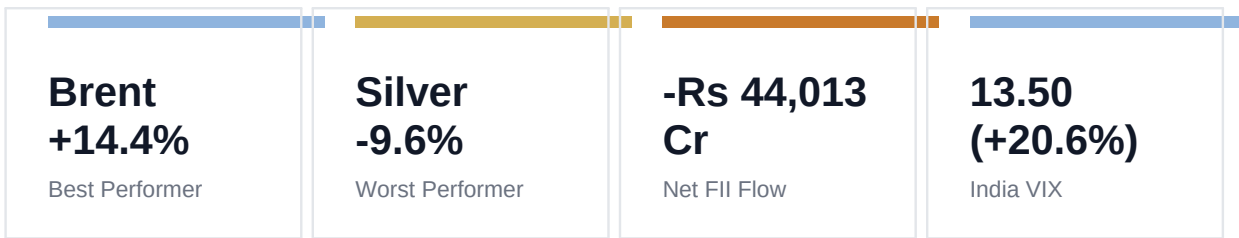
SEPTEMBER 2026

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EXECUTIVE SUMMARY



September was the month two separate shocks landed on the same market at the same time. The Strait of Hormuz conflict kept front-month Brent above \$100 for most of the second half and lifted it 14.4% over the month, while the US Federal Reserve delivered its first rate hike since 2023 on September 16, taking the fed funds range to 3.75-4%. Together they pushed the US 10-year Treasury yield above 5.2%. For India, the world's third-largest crude importer, that combination is close to a worst case: a bigger import bill and a higher risk-free return abroad hit the same place at once, namely foreign appetite for Indian equities.

The flow data shows how that played out. Foreign institutions were small net buyers in the first week, when hopes of a US-Iran de-escalation briefly lifted the rupee to 94.49 per dollar. They turned sellers once the Fed moved, and they left in size at the end of the month, pulling Rs 25,482 Cr in the final three sessions alone. Provisional exchange data puts September's net FII selling at Rs 44,013 Cr. Domestic institutions bought Rs 76,030 Cr, enough to soften the fall but not to stop it. The Nifty 50 fell 6.1% and the Sensex 5.8%, the Nifty's worst September since 2018.

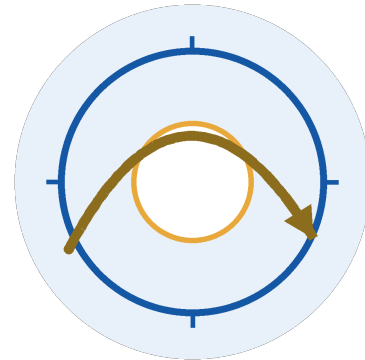
The damage was not spread evenly. Nifty IT fell 11.2% even though a weaker rupee normally helps exporters, because higher US yields hit long-duration growth valuations harder than the currency could offset. Financials were caught twice, first by an Indian 10-year yield that touched 7.19%, and then by an IRDAI proposal on September 23 to cut insurance commissions sharply, which triggered the market's worst single session since March. The month's few winners, Adani Ports, Coal India and Dr Reddy's, were businesses with dollar revenues or energy exposure.

Precious metals broke the usual wartime pattern. Gold fell 6.7% and silver 9.6% even as the conflict escalated, because a hiking Fed and a 2% rise in the dollar index raised the cost of holding assets that pay no yield. The rupee ended only about 1% weaker despite all of this, but only because the RBI spent heavily to defend it: reserves fell \$14.88 billion in the week to September 18, the biggest weekly drop in almost two years. The question for October is whether that defence and domestic buying can keep holding while oil and US yields stay where they are.

GLOBAL MARKETS

The Throughline

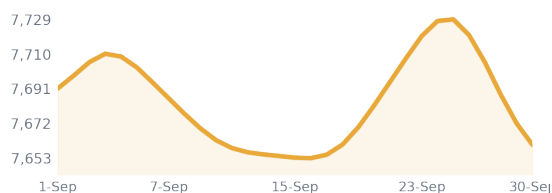
One mechanism explains most of this issue: oil and US yields rose together, and India sits exactly where those two forces meet. Brent above \$100 widens India's trade deficit and pushes up inflation expectations at home, with August CPI already at 4.82%. A Fed that has resumed hiking keeps US 10-year yields above 5%, which makes risk-free dollar assets a real competitor to emerging-market equities. That combination drove foreign selling, pressured the rupee, lifted Indian bond yields to 7.19%, and penalised long-duration and rate-sensitive stocks most. Almost every move in the sections that follow comes back to this squeeze.



Global Indices

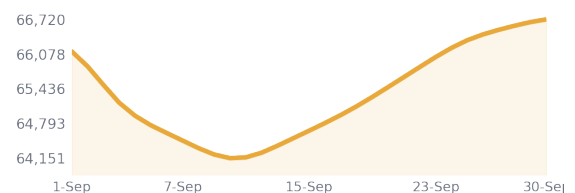
S&P 500 (in USD)

-0.44%



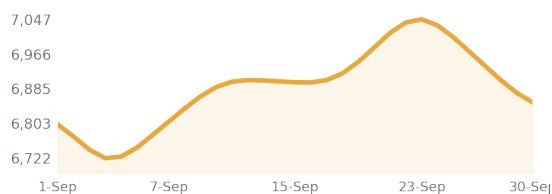
Nikkei 225 (in JPY)

+0.67%



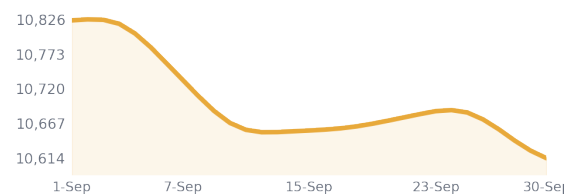
KOSPI (in KRW)

+0.26%



FTSE 100 (in GBP)

-2.01%



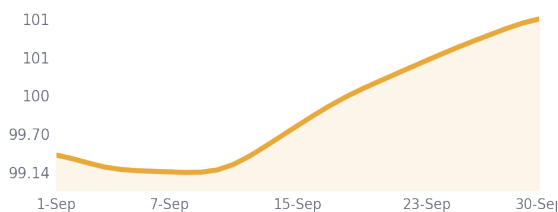
Source: NSE, Yahoo Finance, Trading Economics.

CURRENCY

The dollar index rose 2.0%, and almost all of that gain came after the Fed's September 16 hike reset expectations for US rates. The rupee followed it in two phases. Early in the month it firmed to 94.49 on de-escalation hopes, then gave that back as oil stayed high and foreign equity money left, crossing 96 on September 17 and again on September 29. That it ended only about 1% weaker, at 96.09, says more about the RBI than about market demand. State-run banks were reported selling dollars on the central bank's behalf to cap the pair near 96. The underlying pressures, a crude import bill priced above \$100 and portfolio outflows, are still there.

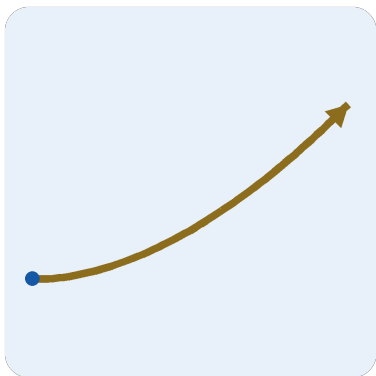
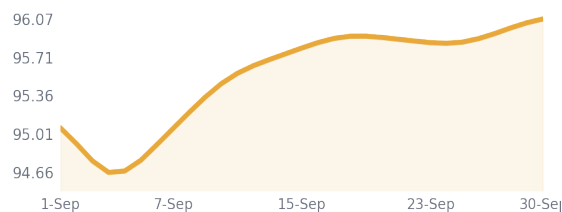
US Dollar Index (DXY)

+2.01%



USD/INR Currency Pair

+0.97%



India's Forex Reserve

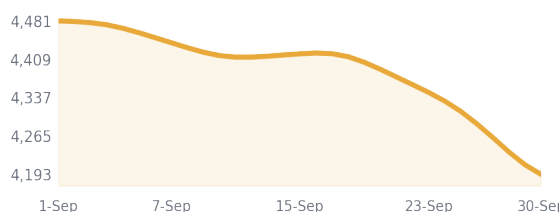
India's foreign exchange reserves fell \$14.88 billion to \$765.90 billion in the week to September 18, the steepest weekly fall since November 2024. Almost all of the drop came from foreign currency assets, which is consistent with the RBI selling dollars to slow the rupee's slide after the Fed hike. The reserve stock is still large, but the pace matters. Defending the currency at this rate is a bridge, not a strategy, and it buys time only if oil or US yields ease before the cost becomes politically or financially uncomfortable.

COMMODITIES

Brent's front-month contract rose 14.4%, from \$90.49 to \$103.50, and traded near \$109 at the mid-September peak as attacks on Gulf shipping and Saudi infrastructure kept the Hormuz premium in place. Its sharpest drop, about 7% on September 21, came on talk of US-Iran negotiations. That shows how much of the price is geopolitical premium rather than physical shortage. Precious metals moved the other way. Gold fell 6.7% and silver 9.6% because the Fed's hike and 5%-plus Treasury yields raised the cost of holding metal that pays nothing, and that outweighed any safe-haven demand. Silver fell further because its industrial demand makes it more sensitive to growth worries.

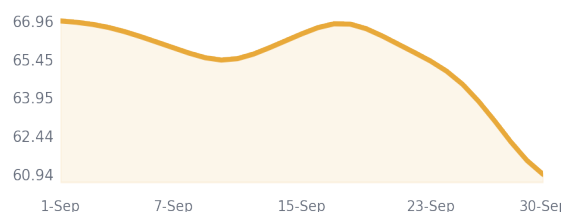
Gold Futures Price (in \$)

-6.70%

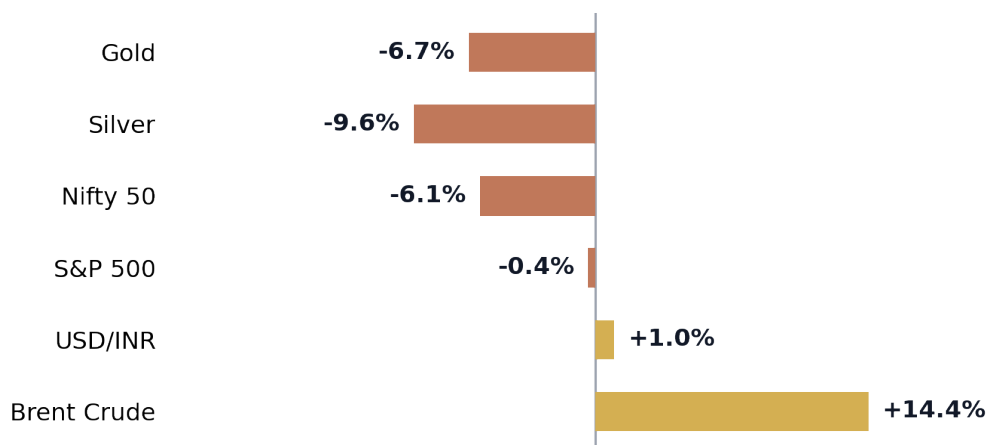


Silver Futures Price (in \$)

-9.58%



Monthly Return by Asset Class



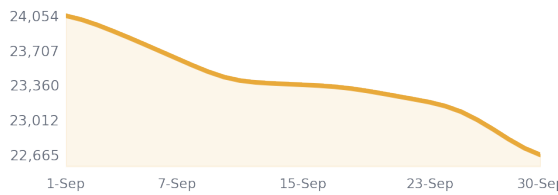
Monthly return by asset class.

INDIAN INDICES

The Nifty 50 lost 6.1% and the Sensex 5.8%, and the Nifty logged seven straight weekly declines, its longest losing run since the 2020 Covid crash. Unlike past sell-offs, broader indices offered no shelter: the Nifty Midcap 100 fell 7.6%. NIFTY IT was the weakest major index at -11.2% and ended 31% below its 52-week high, while NIFTY Bank's 5.9% fall roughly matched the market. The fall was gradual for three weeks, then sharp in the final week, when the IRDAI shock, Brent above \$105 and the Nifty's monthly expiry came together. Movers below are for September 1-29.

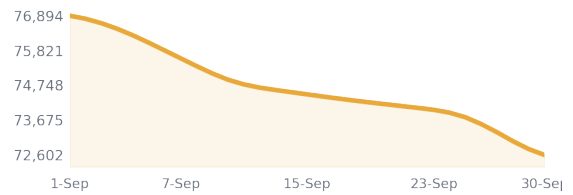
NIFTY 50

-6.06%



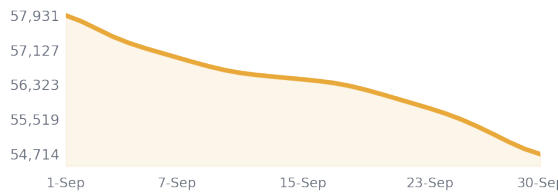
SENSEX

-5.82%



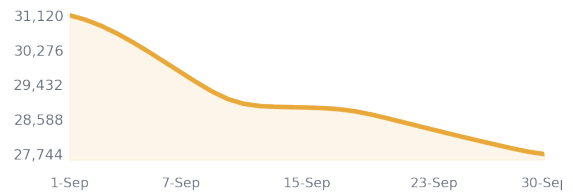
NIFTY Bank

-5.85%



NIFTY IT

-11.18%



Index paths for the month.

EQUITIES & FLOWS

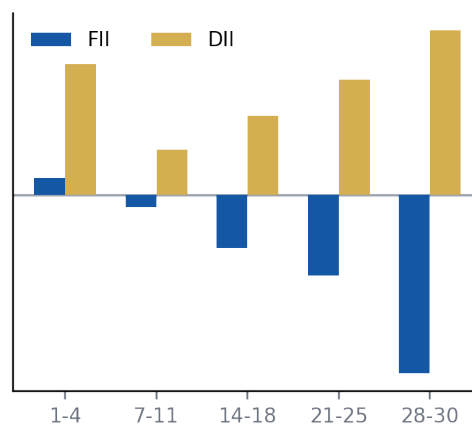
Top Gainers | NIFTY 50

Company Name	Change (%)
Adani Ports and SEZ Ltd.	+9.45
Dr. Reddy's Laboratories Ltd.	+5.77
Coal India Ltd.	+5.16
ITC Ltd.	+3.80
HDFC Bank Ltd.	+1.42

Top Losers | NIFTY 50

Company Name	Change (%)
Tata Consultancy Services Ltd.	-13.70
Bajaj Finserv Ltd.	-13.31
Wipro Ltd.	-12.43
Shriram Finance Ltd.	-12.04
Infosys Ltd.	-11.52

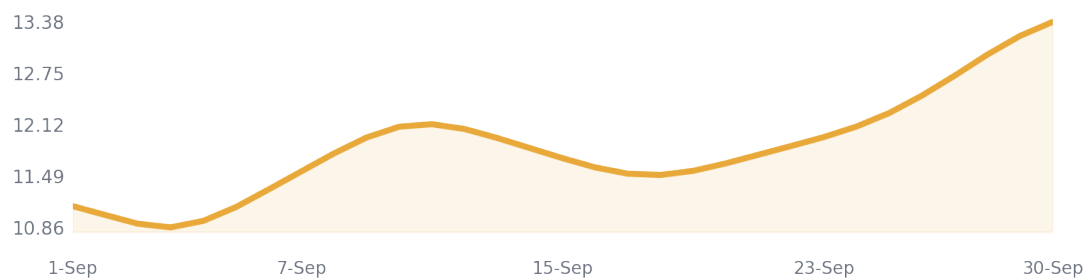
FII vs DII Flows (₹ Cr)



Provisional data shows FIIs net sold Rs 44,013 Cr in September (weeks shown by trading dates) while DIIs bought Rs 76,030 Cr. Foreign investors were small buyers in week one, turned sellers around the Fed hike, then dumped Rs 25,482 Cr in the final three sessions as quarter-end, expiry and the Nifty rejig met Brent above \$100. Rising DII buying kept the fall orderly, but India VIX still climbed 20.6%.

India VIX

+20.64%



SECTOR DEEP-DIVE

Two sector stories explain why a 6% index fall felt much worse in parts of the market, and both come back to the yields half of the squeeze rather than to oil directly.

IT Fell While the Rupee Weakened: The Discount Rate Beat the Currency

A weaker rupee normally helps Indian IT, because dollar revenue converts into more rupees. In September that tailwind was worth only about 1%, while the headwind was far bigger. With US 10-year yields above 5%, the discount rate on IT's long-dated earnings rose, and investors were already marking down the sector's growth because of AI-led pressure on billable work. TCS fell 13.7%, Infosys 11.5% and Wipro 12.4%; Wipro also lost its Nifty 50 place to BSE on September 30. The sector's 5% jump on September 15, on industry calls to slow AI development, faded within days. That suggests the rerating is about valuation, not a single headline, and October's Q2 results will test whether single-digit growth is now fully priced in.

Financials Took Two Hits: Bond Yields First, Then the IRDAI

The first hit came through the bond market. India's 10-year yield touched 7.19%, its highest since April 2024, raising wholesale funding costs for NBFCs whose loan books reprice more slowly than their borrowings. Shriram Finance fell 12.0%. The second hit came on September 23, when an IRDAI consultation paper proposed cutting life insurers' expense-of-management cap to 15% of premium within two years and general insurers' commission ceiling from about 30% to 20%. The Sensex fell 1,248 points the next day, its worst session since March. Bajaj Finserv, exposed to both lending and insurance, fell 13.3%. HDFC Bank rose 1.4%, which shows that a large deposit base, rather than market funding, was what protected lenders this month.

OUTLOOK & RISKS

Base Case

Our base case for October is a fragile consolidation, not a recovery. We expect the RBI to hold the repo rate at 5.25% on October 7 but signal a more hawkish stance, with a hike more likely in December than now. We expect the Fed to pause on October 28 after September's move. Brent is likely to stay above \$95 while Hormuz remains unresolved, which keeps the rupee pinned near 96 with RBI support. In that setting we expect foreign selling to slow rather than reverse, and the Nifty to trade roughly in a 22,400-23,300 band as Q2 results, starting with TCS, set the near-term direction.

Upside Risk

A credible US-Iran agreement that reopens the Strait of Hormuz is the one development that would change the picture quickly. September 21 showed how fast Brent sheds its premium on peace headlines. Lower oil would ease India's inflation and current-account worries, give the RBI room to stay on hold, cool US yields at the margin and trigger short-covering by foreign funds that are now heavily underweight India.

Downside Risk

The downside is renewed US strikes on Iran combined with the use of tariff powers under the new Russia sanctions law against buyers of Russian oil, including India. That could push Brent towards \$110, lift the US 10-year towards 5.5% and force the RBI into an early hike to defend the rupee. In that case the Nifty would probably break the 22,400 support zone that brokers are watching.

What We're Watching Next Month

- October 2: US September jobs report, the last major labour data before the Fed's October 27-28 meeting
- October 7: RBI policy decision, and whether the stance moves towards tightening with CPI at 4.82%
- October 8: TCS Q2 FY27 results, the first test of whether IT's de-rating has gone far enough
- Whether the White House uses its new tariff authority on buyers of Russian crude, including India

EVENTS ARCHIVE

September 2026

Monday	Tuesday	Wednesday	Thursday	Friday	Saturday	Sunday
	1	2	3	4	5	6
7	8	9	10	11	12	13
14	15	16	17	18	19	20
21	22	23	24	25	26	27
28	29	30				

Indian Events

14

August CPI Rises to 4.82%

Retail inflation hit its highest since December 2024, narrowing the RBI's room to stay accommodative.

23

Flash Composite PMI Jumps to 56.5

Private-sector activity posted its strongest expansion since June, a domestic bright spot in a weak month.

24

IRDAI Commission Plan Sparks Rout

A proposal to cap insurance distribution costs sent the Sensex down 1,248 points, its worst day since March.

Global Events

16

Fed Hikes for First Time Since 2023

A 25 bp increase took the fed funds range to 3.75-4% and pushed the 10-year yield past 5%.

18

Bank of Japan Lifts Rate to 1.25%

The BOJ's quarter-point hike took its policy rate to a 31-year high, extending the global tightening turn.

26

Trump Rejects Iran's Seven-Day Plan

Reports that Washington turned down Tehran's Hormuz reopening offer kept Brent's war premium in place.

OPINION POLL

The plain fact is that inflation is too high and has been for too long.

— Kevin Warsh, Chair, US Federal Reserve (Sep 16)

The tipping point will come when valuations reach levels that are justified for single-digit growth rates.

— Ashwini Shami, President, OmniScience Capital, on IT stocks

...the secondary market simply ran out of fuel to sustain its record highs.

— Vinit Bolinjkar, Head of Research, Ventura

This is an original summary based on public reporting. See our editorial policy for how we source, write, and correct our stories. Quotes on this page are real, attributed public statements sourced from that month's news coverage. FII/DII figures are provisional exchange data; Nifty 50 gainers and losers cover September 1-29.